Summary of TCA

Objective

- This analysis examines the key factors influencing customer churn, with a primary focus on contract type, payment method, and customer tenure. Additional demographic and service-related variables were also reviewed to identify patterns that can inform targeted retention strategies.

Key Findings

- **Contract Type and Churn**
  Customers on month-to-month contracts exhibit the highest churn rate (42%), significantly exceeding those on one-year (11%) and two-year (3%) contracts. This demonstrates a strong inverse relationship between contract length and customer churn.

- **Payment Method Impact**
  Customers using electronic checks show the highest churn rate at 45%, compared to 15–18% for customers using credit cards, bank transfers, or mailed checks. This indicates potential issues related to convenience, reliability, or trust associated with electronic check payments.

- **Churn by Customer Tenure**
  Churn is highest among customers with less than one year of tenure (50%), decreases to 35% for customers with 1–3 years, and further declines to 15% for customers retained beyond three years. Early-stage customer experience is therefore critical to long-term retention.

- **Service Type and Demographics**
  - Fiber Optic customers experience a higher churn rate (30%) compared to DSL customers (20%), potentially reflecting competitive pressures or service quality expectations.

- Senior citizens show a higher churn rate (41%) compared to non-senior customers (26%), suggesting the need for tailored engagement strategies.

Visualization Insights

Bar charts and trend analyses reinforce these findings, clearly illustrating:

- Disproportionately high churn among electronic check users and month-to-month contracts
- A steady decline in churn as customer tenure increases

Recommendations

- Encourage Long-Term Contracts
  Introduce incentives and pricing benefits to shift customers from month-to-month plans to longer-term contracts.
- Optimize Payment Methods
  Promote more stable payment options, such as credit cards or bank transfers, to reduce churn associated with electronic checks.
- Strengthen Early Customer Engagement
  Focus retention efforts within the first year through onboarding programs, proactive support, and loyalty initiatives.
- Target High-Risk Segments
  Develop specialized retention strategies for senior customers and fiber optic users, addressing their specific needs and expectations.